



Central Bank
of Armenia

2024 Q3

Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

September 10, 2024

Present at the meeting: Governor Martin Galstyan; Deputy Governor Armen Nurbekyan; and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Levon Sahakyan, and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement as well as in Section I, Part B of the Monetary Policy Report.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's Q3 2024 Macro Survey, financial market participants expect the CBA policy rate to follow a gradual loosening path, consistent with the logic of prior policy actions.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios are primarily related to uncertainty about the neutral rate in the United States; worsening geopolitical tensions, both globally and regionally; uncertainty about the country risk premium in the context of the fiscal deficit and geopolitical tensions; as well as other risks and uncertainties. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the risk for weaker aggregate demand and labor market conditions; concerns about potential adverse developments in the real estate sector; the potential for a sharp slowdown in global demand; as well as other risks and uncertainties. A detailed description of the Case A- and B-type risks highlighted during Board deliberations are presented in the Taxonomy of Scenarios section of the Monetary Policy Report.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed uncertainties around underlying economic conditions in the United States, with implications on Fed policy. Levon Sahakyan noted that recent softening in labor market conditions in the US meant that the Fed would be expected to begin placing greater weight on its full employment mandate, in line with Chairman Powell's communication. Armen Nurbekyan, on the other hand, suggested that market concerns of a full-blown labor market correction and imminent recessionary risks are likely overstated. In this context, he and Martin Galstyan both noted that some economic volatility would be expected in the "last mile" as the Fed seeks to bring inflation sustainably back to the target. Regardless, Board members were in unison that economic developments in recent quarters support markets' view that the Fed would be expected to begin cutting rates in September. All Board members emphasized that this view of the Fed's coming policy actions was entirely consistent with the CBA Board's prior expectations and external communications over the past year. Additionally, Armen Nurbekyan noted persistent concerns about the growing deficit and the national debt in the US, with no clear path for resolving these issues in the medium term. All Board members agreed that this poses uncertainty about where policy rates would land in the US in the medium term, though they stated that it was unlikely to be at levels observed pre-Covid. Narek Ghazaryan joined Armen Nurbekyan in arguing that regardless of the outcome of the presidential election, the potential for an expansionary fiscal stance and growing trade tensions could have inflationary implications on the global economy. Turning to global economic developments, Levon Sahakyan and Armen

Nurbekyan both noted risks of slowing economic activity in China and the Eurozone. Levon Sahakyan additionally noted risks about the inflationary environment in Russia, though its implications for the Armenian economy remain uncertain. With respect to commodity markets, several Board members, including Davit Nahapetyan, Narek Ghazaryan, and Hasmik Ghahramanyan emphasized risks of persistent volatility in commodity prices, driven by such factors as continuing geopolitical tensions in the Middle East. On the other hand, Levon Sahakyan argued that the major upside risks to commodity prices (whether due to geopolitical tensions or supply chain disruptions) had largely dissipated.

Discussions then touched upon key sources of uncertainty about underlying domestic economic conditions. All Board members emphasized uncertainty about the output gap and the relative balance between aggregate supply and aggregate demand. On the one hand, Levon Sahakyan stated that growing retail trade, private consumption, and consumer lending all painted a picture of relatively strong domestic demand conditions. On the other hand, Narek Ghazaryan noted risks of slowing economic activity, while Hasmik Ghahramanyan expressed concerns that growth in lending volume would not positively contribute to growth in potential, given the concentration of lending growth in consumer and mortgage loans. Board members noted uncertainty about the state of the labor market, including mixed signals due to discrepancies between survey-based data (which suggest rising unemployment and a slow pace of labor market integration for forcibly displaced compatriots from Nagorno-Karabakh) and State Revenue Committee data (where the number of registered employees continues to rise). Armen Nurbekyan emphasized that the importance of accurately interpreting various labor market indicators in the context of labor supply and demand. Regardless, several Board members, including Narek Ghazaryan and Hasmik Ghahramanyan suggested that declining wage growth and rising unemployment could point to an overall weakening in labor market conditions. Turning to inflation, several Board members, including Davit Nahapetyan, Levon Sahakyan, Hasmik Ghahramanyan, and Narek Ghazaryan, emphasized that inflation continued to remain well below the target, with few signs that it could accelerate at a rapid pace over the coming months.

Discussions also covered fiscal policy. All Board members agreed that risks of revenue underperformance, coupled with the need for greater expenditures, could pose risks of a widening fiscal deficit, with implications on the country risk premium and consequently on the future path of policy. Considering sustained regional and local geopolitical tensions, as well as uncertainty about the fiscal stance, all Board members emphasized continued uncertainty about the country risk premium, which could pose upside risks to the neutral rate in Armenia. They additionally underlined that uncertainty about the neutral rate required continued close monitoring, and this factor would weigh importantly on future policy decisions. In this light, Hasmik Ghahramanyan emphasized the need to be prepared for future discussions about possible scenarios where policy may reach the end of the loosening cycle.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the risks in both directions were relatively balanced, necessitating the policy stance to continue to be gradually eased and a reduction of the policy rate by 25 bps in this decision round. From a Case A perspective, and as noted above, Board members emphasized uncertainty related to the country risk premium and neutral interest rates stemming from both global, geopolitical, and fiscal policy-related considerations. On the other hand, Board members noted several Case B-type concerns, which primarily included risks of weakening domestic and external demand conditions; weakening labor market conditions; and concerns about the global economic outlook.

One group of Board members (including Martin Galstyan and Narek Ghazaryan), argued that while the Case B-type risks are greater, the persistence of certain Case A-type risks (including uncertainty about the neutral rate and country risk premium) necessitate a gradual and conservative loosening of the policy stance, in line with prior policy decisions.

Another group, including Armen Nurbekyan, Hasmik Ghahramanyan, Davit Nahapetyan, and Levon Sahakyan, suggested that, from the perspective of policy objectives, the existing risks were mostly balanced. They emphasized that uncertainty surrounding certain economic fundamentals—including uncertainty about the country risk premium and the neutral rate on the one hand, and potential signals of decelerating economic growth and weaker demand conditions on the other hand—remained significant and could have important consequences on the future path of policy. In this context, they believed that a gradual easing of the policy stance would most effectively balance these risks in the current stage.

Given these discussions, the Board as a whole was in consensus that a balanced approach in the current policy round was most prudent to appropriately address both the Case A- and Case B-type risks that they underscored in their discussions.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

Balancing the aforementioned risks in both directions, the Board of the Central Bank of Armenia finds it appropriate to continue to gradually ease the policy stance and decrease the policy rate by 25 basis points in this policy round (see Table 1). The Board will continue to monitor risk scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 4 percent inflation over the medium-term horizon is met.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
September 10, 2024 Decision

Board Member	Vote
Narek Ghazaryan	Decrease by 25 basis points
Levon Sahakyan	Decrease by 25 basis points
Davit Nahapetyan	Decrease by 25 basis points
Hasmik Ghahramanyan	Decrease by 25 basis points
Armen Nurbekyan	Decrease by 25 basis points
Martin Galstyan	Decrease by 25 basis points

B. Final Vote Submissions

September 10, 2024

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I have voted to reduce the policy rate by 25 basis points. My decision is motivated by a prudent balancing of both the Case A and Case B type risks. From a Case A perspective, the key uncertainty relates to the country risk premium and the neutral rate in Armenia. These concerns are driven by persistent geopolitical tensions, both locally and regionally; uncertainty about domestic fiscal policy (where the potential for higher expenditures could have implications on the fiscal deficit); as well as uncertainty surrounding the US neutral rate. From a Case B perspective, I remain concerned about weakening economic activity, which continues to be somewhat concentrated in certain sectors. Moreover, these structural particularities could pose risks to the sustainability of the longer-term economic outlook. Additionally, I am concerned about continuous softening in the labor market, which could point to declining aggregate demand conditions in the economy. On the whole, I believe that the Case B type risks are, at present, more plausible. However, given a “least regrets” desire to avoid undesirable, dark corner outcomes stemming from some of the Case A-type risks noted above (including uncertainty relating to the country risk premium), I believe that a somewhat conservative loosening of the policy rate best addresses the risks and uncertainties at hand. I have therefore voted to reduce the policy rate by 25 basis points. In the event that new information or events emerge that require a reassessment of this balance of risks, I express a resolute commitment to taking timely and appropriate steps to ensure that the price stability objective of 4% inflation over the medium term horizon is met.

Deputy Governor Armen Nurbekyan

Considering the economic and financial developments over the past few months, discussions with the Board during the policy round, as well as a careful analysis of the key sources of risk and uncertainty, I have voted to decrease the policy rate by 25 basis points. The CBA has made significant progress in decreasing inflation expectations after two years of very high inflation and significantly reducing the risk of de-anchoring of inflation expectations. At the same time, significant uncertainty both in the external and domestic economies remains. In the US, economic activity has been sound and the progress of bringing inflation back to its target has been significant; however uncertainty around the long-run neutral rate and the “last mile” of inflation is still present. Global and regional geopolitical risks are elevated, which poses a Case A-type risk due to its potential impact on the country risk premium and, thus, on the neutral interest rate in Armenia. In the rest of the world, most notably EU and China, risks to economic activity are tilted downwards, posing the main Case B risks. In the domestic economy, low inflation has been accompanied with high growth, which is, however, concentrated in the demand-prone services and construction sectors, indicating that below-target inflation is not driven by deficient demand. In addition, fiscal policy is one the main drivers of the Case A scenario through positive demand effects in the short run, but also due to the potential effects on the risk premium as the level of public debt rises. This, in turn, may create upward pressure on the risk premium. At the same time, Case B considerations from the domestic economy mainly relate to softness in the labor market. Wage growth moderation, as well as the recent uptick in unemployment, warrant a serious consideration of Case B scenarios. The significant uncertainty about neutral interest rate, the path of fiscal policy, dovetailed with low inflation and softness in the labor market, motivates my vote to cut the policy rate by 25 basis cuts. This balances the risk of cutting too aggressively amid significant uncertainty about the neutral rate and highly uncertain fiscal policy path against the risk of being slow in recognizing potential softness in demand. The cost associated with the policy error of cutting too aggressively and the potential policy reversal, as opposed to failing to recognize softness to the demand in a timely manner are, in my view, balanced.

Board Member Hasmik Ghahramanyan

During the September 10, 2024 CBA Board meeting, I have voted in favor of reducing the policy rate by 25 basis points. My decision has been motivated by my assessment of current economic conditions, previous policy decisions, the economic outlook, and various risk scenarios, in light of my and the Board's commitment to achieve the price stability objective of bringing inflation to the 4% target in the medium term. I believe that although geopolitical uncertainties, as well as growing tensions in international trade relations, could pose certain risks to global commodity markets, the overall impacts from the external sector on the Armenian economy are not inflationary. On the domestic front, economic developments are impacting aggregate demand conditions in different directions. On the one hand, economic activity remains strong, though it is not widespread. Looking ahead, there is uncertainty and risk about whether the branches supporting recent economic activity can maintain high and stable growth, as evidenced by the directions and volumes of lending activity. On the other hand, given the slowing pace in wage growth, inflationary pressures from the labor market have softened, reflecting weakening demand conditions. Additionally, while it is difficult to accurately assess the scale of the fiscal multiplier, given the likely direction of additional fiscal expenditures, it cannot be ruled out that these could lead to increased consumption, which could contribute to increased demand conditions. Under these conditions, there is considerable uncertainty about accurately assessing the neutral rate, given challenges with evaluating, on the one hand, potential GDP, and on the other hand, the country risk premium. Further complicating this matter is uncertainty about where neutral rates in advanced economies will settle in the medium term, which can have significant implications on the neutral rate in Armenia. I have also considered the fact that the yield curve may still reflect the presence of certain risks. On the whole, there are development scenarios that would require the policy rate to remain at their current level, as well as scenarios that would require the policy rate to decline. For my decision, I have taken as a basis my assessment that the latter type of scenarios, where the policy rate would need to decline, have a greater likelihood. In the event that any risks or new information emerge, I express my readiness to take appropriate actions in order to ensure that inflation returns to the 4% target in the medium term.

Board Member Davit Nahapetyan

Considering economic and financial developments over the past few months, discussions with the Board during the policy round, as well as a careful analysis of the key sources of risk and uncertainty, I have voted to decrease the policy rate by 25 basis points. Despite regional and global geopolitical uncertainties, as well as still-tight monetary policy stances in key trading partner economies, somewhat inflationary effects from commodity markets, I expect mostly deflationary effects from the external sector on the Armenian economy. Economic activity in Armenia continues to remain robust, despite some slowdown in recent months. At the same time, I have also considered trends of weakening aggregate demand conditions and possible deflationary implications in light of some softening in the labor market as well as other factors. Additionally, careful judgments about the neutral rate and country risk premium are critical, especially considering uncertainty related to geopolitical risks and possible developments in the domestic economy. Given a detailed examination of current and underlying economic conditions, I believe that, at present, the Case A- and B-type risks are relatively balanced. In my view, despite inflation being below target in recent months, a gradual loosening of the policy rate is necessary to help anchor inflationary expectations. In this context, I consider a 25 basis point reduction in the policy rate to be a rational and prudent step, which best manages upside and downside risks. I express my and the Board's commitment to continue to monitor economic scenarios and adopt the appropriate policy actions to ensure the price stability objective in the medium term.

Board Member Levon Sahakyan

Taking into account recent economic developments, underlying economic conditions, risks, and key sources of uncertainty, as well as fellow Board members' views and market expectations, I vote in favor of reducing the policy rate by 25 basis points. In contrast to previous decision-making rounds, it now appears much more likely that the US Fed will begin its policy loosening cycle. In my view, this provides additional space for discussions around the policy stance in Armenia. Risks of slowing economic activity in the EU and China persist, which could result in weakening global demand conditions. Given these conditions, I believe that pressures from the external sector on the Armenian economy will be either deflationary or stable. Additionally, the inflationary environment in Russia could have different implications for the Armenian economy, depending on the capacities of the Armenian export sector, logistical factors, and other supply-side considerations. In the domestic economy, though external demand factors continue to gradually weaken, strong private consumption and high growth in retail trade suggest that aggregate demand conditions are relatively stable. This hypothesis is also supported by strong growth in loan volumes, which contribute to a stable demand and growth environment. Given the current areas of uncertainty, the key Case A-type risk relates to potential developments regarding the country risk premium. From a Case B perspective, in the event that risks of weak demand conditions emerging materialize, it would be essential to avoid having an excessively tight policy stance. In this context, balancing the key

Case A- and B-type uncertainties, I find a gradual loosening of the policy stance—in line with market expectations—to be the most appropriate course of action in order to ensure the medium-term price stability objective.

Board Member Narek Ghazaryan

Given my discussions with members of the Board during the decision-making round, analysis of current and underlying economic conditions, as well as a comprehensive assessment of the primary sources of risk and uncertainty, I vote to decrease the policy rate by 25 basis points. My decision is motivated by my firm belief that although Case B-type deflationary risks dominate in the near- and medium-term, there exist meaningful Case A-type inflationary risks in the medium-term horizon. Underlining the dominance of Case B-type risks, I note that trends of slowing inflation and wage growth continue to be observed in the US, EU, UK, and other advanced economies. Considering the two years of tight monetary conditions in these economies which continue through the present, it is possible that global inflation may quickly recede and settle below target levels for a considerable period. Turning to deflationary risks in the domestic economy, I note that the pace of nominal wage growth continues to slow, external demand for several exportable sectors continues to weaken, and core and CPI inflation continue to remain below the CBA target. It is worth emphasizing that previously discussed risks of a slowdown in above-normal real estate sector would result in a slowdown in aggregate demand conditions in the overall economy, generating additional deflationary risks. In describing existing deflationary risks, it is also worth noting a number of inflationary risks. Specifically, following US elections, fiscal policy could adopt a much more expansionary stance, while global trade tensions could grow, which could create inflationary pressures for a number of internationally-traded goods. Additionally, the persistence of, and possible increase in, geopolitical tensions could lead to an acceleration in commodity prices, and contribute to an upward reappraisal of Armenia's country risk premium. These external developments could increase inflationary pressures on the Armenian economy. In the medium term, there also exist inflationary risks driven by domestic developments, specifically including high economic activity in the trade sector, high business and consumer lending activity, as well as accumulated savings and high asset prices, which could stimulate domestic demand for a meaningful period and create additional inflationary pressures. Taking into account the described Case A- and B-type risks, I am convinced that it is necessary to continue the policy of gradually lowering the refinancing rate, in order to bring inflation close to the target over the medium term. I reaffirm my commitment to the price stability mandate and emphasize that, in the event that new information or risks emerge that threaten the price stability objective, I stand ready to take appropriate policy actions.

